

B S R & Associates LLP

Chartered Accountants

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INDEPENDENT AUDITORS' REPORT

TO THE BOARD OF DIRECTORS OF GRANULES INDIA LIMITED

Report on the audit of the Standalone Annual Financial Results

Opinion

We have audited the accompanying standalone annual financial results of Granules India Limited (hereinafter referred to as the "Company") for the year ended 31 March 2020, attached herewith, being submitted by the Company pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone annual financial results:

- a. are presented in accordance with the requirements of Regulation 33 of the Listing Regulations in this regard; and
- b. give a true and fair view in conformity with the recognition and measurement principles laid down in the applicable Indian Accounting Standards, and other accounting principles generally accepted in India, of the net profit and other comprehensive income and other financial information for the year ended 31 March 2020.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing ("SAs") specified under section 143(10) of the Companies Act, 2013 ("the Act"). Our responsibilities under those SAs are further described in the *Auditor's Responsibilities for the Audit of the Standalone Annual Financial Results* section of our report. We are independent of the Company, in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act, and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained, is sufficient and appropriate to provide a basis for our opinion on the Standalone annual financial results.



Management's and Board of Directors' Responsibilities for the Standalone Annual Financial Results

These standalone annual financial results have been prepared on the basis of the standalone annual financial statements.

The Company's Management and the Board of Directors are responsible for the preparation and presentation of these standalone annual financial results that give a true and fair view of the net profit/loss and other comprehensive income and other financial information in accordance with the recognition and measurement principles laid down in Indian Accounting Standards prescribed under Section 133 of the Act and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone annual financial results that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone annual financial results, the Management and the Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Annual Financial Results

Our objectives are to obtain reasonable assurance about whether the standalone annual financial results as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone annual financial results.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone annual financial results, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3) (i) of the Act, we are also responsible for expressing our opinion through a separate report on the complete set of financial statements on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures in the standalone financial results made by the Management and Board of Directors.



Auditor's Responsibilities for the Audit of the Standalone Annual Financial Results (continued)

- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the appropriateness of this assumption. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone annual financial results or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone annual financial results, including the disclosures, and whether the standalone annual financial results represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Other Matters

The standalone annual financial results include the results for the quarter ended 31 March 2020 being the balancing figure between the audited figures in respect of the full financial year and the published unaudited year to date figures up to the third quarter of the current financial year which were subject to limited review by us.

for **B S R & Associates LLP**

Chartered Accountants

Firm Registration Number: 116231W/W-100024



Sriram Mahalingam

Partner

Membership Number: 049642

ICAI UDIN: 20049642AAAABP1843

Place: Hyderabad

Date: 02 June 2020



GRANULES INDIA LIMITED
Regd Office : 2nd Floor, 3rd Block, My Home Hub
Madhapur, Hyderabad 500 081
CIN:L24110TG1991PLC012471

Rs in lakhs

Statement of Standalone Audited Results for the quarter and year ended March 31, 2020

Sl No.	Particulars	Quarter ended			Year ended	
		31.03.2020	31.12.2019	31.03.2019	31.03.2020	31.03.2019
		Audited	Un-Audited	Audited	Audited	Audited
	Income					
1	Revenue from operations	48,686.99	61,644.41	56,099.67	230,992.83	209,843.26
2	Other income	1,682.75	373.52	151.21	2,645.67	2,848.91
3	Total income (1+2)	50,369.74	62,017.93	56,250.88	233,638.50	212,692.17
	Expenses					
	(a) Cost of materials consumed	27,282.83	33,731.90	34,024.78	125,328.26	131,733.38
	(b) Changes in inventories of work in progress and finished goods	(3,010.23)	(470.06)	(1,024.03)	(3,129.76)	(6,701.53)
	(c) Employee benefits expense	5,289.23	4,696.40	4,260.84	19,251.45	16,699.57
	(d) Finance costs	667.47	668.82	680.24	2,686.22	2,836.02
	(e) Depreciation and amortisation expense	2,634.45	2,522.74	2,313.76	10,182.44	9,077.21
	(f) Other expenses	9,393.96	9,895.60	9,943.85	40,129.16	34,876.84
	Total expenses	42,257.71	51,045.40	50,199.44	194,447.77	188,521.49
5	Profit before exceptional items and tax (3-4)	8,112.03	10,972.53	6,051.44	39,190.73	24,170.68
6	Exceptional items {refer note 5}	(16,111.87)	-	-	(16,111.87)	-
7	Profit before tax (5-6)	24,223.90	10,972.53	6,051.44	55,302.60	24,170.68
8	Tax expense					
	a) Current tax	3,392.10	3,117.71	1,610.67	12,222.73	8,192.27
	b) Deferred tax (refer note 4)	656.53	(991.78)	305.07	(1,327.03)	(205.64)
	Total tax expense	4,048.63	2,125.93	1,915.74	10,895.70	7,986.63
9	Profit for the period (7-8)	20,175.27	8,846.60	4,135.70	44,406.90	16,184.05
10	Other comprehensive income (net of tax)					
	(a) (i) items that will not be reclassified to profit or loss	(460.56)	-	(104.92)	(460.56)	(104.92)
	(ii) income tax on (i) above	123.62	-	36.66	123.62	36.66
	(b) (i) items that will be reclassified to profit or loss	(1,721.36)	(1,657.50)	1,352.00	(3,138.36)	1,870.87
	(ii) income tax on (i) above	413.87	417.16	(472.45)	770.50	(653.76)
	Total other comprehensive income, net of tax	(1,644.43)	(1,240.34)	811.29	(2,704.80)	1,148.85
11	Total comprehensive income (9+10)	18,530.84	7,606.26	4,946.99	41,702.10	17,332.90
12	Paid-up equity share capital (Face Value of Rs.1/- per share)	2,542.48	2,542.48	2,542.48	2,542.48	2,542.48
13	Other equity				178,616.10	139,781.03
14	Earnings per share (Face value Rs. 1/- each)					
	(a) Basic (in Rs.)	7.94	3.48	1.63	17.47	6.37
	(b) Diluted (in Rs.)	7.91	3.47	1.62	17.41	6.35
		(Not annualised)	(Not annualised)	(Not annualised)	(Annualised)	(Annualised)



Standalone statement of Assets and Liabilities :		Rs in lakhs	
Sl. No.	Particulars	As at March 31, 2020 Audited	As at March 31, 2019 Audited
I	ASSETS		
	Non-current assets		
	a) Property, plant and equipment	86,770.55	63,265.57
	b) Capital work-in-progress	10,086.39	30,874.48
	c) Other intangible assets	5,917.80	6,729.41
	d) Intangible assets under development	2,891.59	2,428.38
	e) Financial assets		
	i) Investments	44,539.17	50,646.30
	ii) Loans	15,429.07	6,545.08
	f) Other non-current assets	1,495.37	1,056.93
	Total non-current assets	167,129.94	161,546.15
	Current assets		
	a) Inventories	34,394.74	31,413.51
	b) Financial assets		
	i) Trade receivables	62,700.27	70,420.94
	ii) Cash and cash equivalents	17,432.47	5,642.03
	iii) Bank balances other than cash and cash equivalents above	9,801.38	601.59
	iv) Loans	175.69	49.10
	v) Other financial assets	264.99	34.07
	c) Other current assets	11,733.34	12,729.67
		136,502.88	120,890.91
	d) Assets held for sale {refer note 5(b)}	10,985.24	-
	Total current assets	147,488.12	120,890.91
	TOTAL ASSETS	314,618.06	282,437.06
II	EQUITY AND LIABILITIES		
	Equity		
	a) Equity share capital	2,542.48	2,542.48
	b) Other equity	178,616.10	139,781.03
	Total equity	181,158.58	142,323.51
	Liabilities		
	Non-current liabilities		
	a) Financial liabilities		
	i) Borrowings	42,091.66	47,878.25
	b) Provisions	2,150.34	1,258.07
	c) Deferred tax liabilities (net)	4,472.10	6,693.25
	Total non-current liabilities	48,714.10	55,829.57
	Current liabilities		
	a) Financial liabilities		
	i) Borrowings	37,169.09	45,420.61
	ii) Trade payables		
	(a) Total outstanding dues of micro enterprises and small enterprises	855.47	371.45
	(b) Total outstanding dues of creditors other than micro enterprises and small enterprises	31,432.03	27,317.78
	iii) Other financial liabilities	12,681.99	9,631.22
	b) Other current liabilities	1,665.82	1,023.35
	c) Provisions	595.51	433.83
	d) Current tax liabilities (net)	345.47	85.74
	Total current liabilities	84,745.38	84,283.98
	Total liabilities	133,459.48	140,113.55
	TOTAL EQUITY AND LIABILITIES	314,618.06	282,437.06



Audited standalone statement of Cash flows for the year ended March 31, 2020		
	Rs in lakhs	
	March 31, 2020	March 31, 2019
	Audited	Audited
Cash flow from operating activities		
Profit before tax	55,302.60	24,170.68
<i>Adjustments to reconcile profit before tax to net cash flows</i>		
Depreciation and amortisation expense	10,182.44	9,077.21
Bad debts written off	164.99	6.91
Allowance for doubtful trade receivables	671.42	1,261.95
Gain on sale of investments	(16,111.87)	-
Loss on sale of fixed assets (net)	23.45	29.73
Changes in fair value of cashflow hedges	148.13	-
Net loss/(gain) on foreign exchange fluctuations (unrealised)	(2,004.87)	60.32
Share based compensation expense	198.06	139.18
Interest expense	2,686.22	2,836.02
Interest income	(1,348.84)	(1,219.55)
Operating profit before working capital changes	49,911.73	36,362.45
<i>Movements in working capital:</i>		
Decrease/(Increase) in trade receivables	9,979.73	(3,258.12)
Increase in inventories	(2,981.23)	(8,677.86)
Decrease in other assets	633.58	3,167.03
Increase in trade payables, other liabilities and provisions	3,898.08	3,772.15
Cash generated from operations	61,441.89	31,365.65
Taxes paid (net of refunds)	(11,963.00)	(8,680.35)
Net cash generated from operating activities	49,478.89	22,685.30
Cash flow from investing activities		
Purchase of fixed assets including capital work-in-progress, capital advances and payables for capital goods	(11,943.18)	(18,774.85)
Proceeds from sale of fixed assets	17.63	20.78
Withdrawal/(placement) of bank deposits	(9,193.71)	167.79
Proceeds from sale of associate	11,233.76	-
Loans given to subsidiaries	(6,927.63)	(8,590.03)
Interest received	332.84	2,885.48
Net cash used in investing Activities	(16,480.29)	(24,290.83)
Cash flow from financing activities		
Proceeds from issuance of shares	-	95.55
Proceeds from borrowings	-	11,339.34
Repayment of borrowings	(5,986.36)	(1,105.32)
(Repayment) of short-term borrowings, net	(9,353.54)	(6,231.00)
Repayment of lease liability (including related interest)	(171.95)	-
Interest paid	(2,651.65)	(2,768.02)
Dividend paid on equity shares including tax thereon	(3,065.09)	(3,063.93)
Net cash used in financing activities	(21,228.59)	(1,733.38)
Net increase/(decrease) in cash and cash equivalents	11,770.01	(3,338.91)
Effect of exchange differences on translation of foreign currency cash and cash equivalents	20.43	-
Cash and cash equivalents at the beginning of the year	5,642.03	8,980.94
Cash and cash equivalents at the end of the year	17,432.47	5,642.03

Note: The above Statement of Cash flow has been prepared under the 'Indirect Method' as set out in Ind AS 7, 'Statement of Cash Flows'



Notes:

- 1 The above standalone audited financial results for the quarter and year ended March 31, 2020 have been reviewed by the Audit Committee on June 02, 2020 and approved by the Board of Directors at their meeting held on June 02, 2020.
- 2 The standalone audited financial results of the Company have been prepared in accordance with the Indian Accounting Standards prescribed under section 133 of the Companies Act, 2013 ("the Act") read with relevant rules issued thereunder ("Ind AS") and other accounting principles generally accepted in India and in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- 3 Effective April 1, 2019, the Company has adopted Ind AS 116 — Leases using modified retrospective method. This has resulted in recognizing right of use assets and lease liability as on April 1, 2019. The adoption of the standard did not have any material impact to the audited financial results.
- 4 The Company elected to exercise the option permitted under section 115BAA of the Income-tax Act, 1961 as introduced by the Taxation Laws (Amendment) Ordinance, 2019. Accordingly, the Company has recognised provision for income tax for the year ended March 31, 2020 and remeasured its deferred tax liabilities basis the rates prescribed in the said section. The Company recognized an amount of Rs. 1,891.88 lakhs towards reversal of deferred tax liability during the year ended March 31, 2020 on account of the remeasurement.
- 5 a) During the year, the Company has entered into a definitive agreement to divest its entire 50% shareholding in Granules-Bioclause Pharmaceutical Co. Ltd, for a consideration of Rs. 11,233.76 lakhs (RMB 109 million). The closing conditions for the divestment were concluded in current year. Upon divestment, the resultant gain of Rs. 9,414.73 lakhs is disclosed as 'Exceptional item' in the standalone statement of profit and loss.
b) During the year, the Company has entered into a definitive agreement to divest its entire 50% shareholding in Granules Omnicem Private Limited, for a consideration of Rs. 10,985.24 lakhs. The Company has received the required regulatory approval in May 2020 and the sale has been concluded. The Company has recognised the resultant gain of Rs. 6,697.14 lakhs which is disclosed as an 'Exceptional item' in the standalone statement of profit and loss.
- 6 The Company has considered the possible effects that may result from the pandemic relating to COVID-19 on the carrying amounts of receivables, intangibles, inventories and investments. In developing the assumptions relating to the possible future uncertainties in the global economic conditions because of this pandemic, the Company, as at the date of approval of these financial statements has used internal and external sources of information. The Company has performed sensitivity analysis on the assumptions used and based on current estimates, the company expects to recover the carrying amount of receivables, intangibles, inventories and investments. As the outbreak continues to evolve, the company will continue to closely monitor any material changes to future economic conditions. Based on the assessment done by the management of the Company, there is no significant/material impact of COVID-19 on the results for the quarter and year ended
- 7 The Company operates in one reportable business segment of Pharmaceutical products including ingredients and intermediaries.
- 8 The Board of Directors at their meeting held on January 21, 2020 approved a buyback proposal, subject to the approval of shareholders for purchase by the company of up to equity shares of 12,500,000 of face value Re 1 each (representing 4.92% of total paid-up equity capital) from shareholders of the company at a price of Rs. 200 per share. The shareholders approved the proposal of buyback of equity shares recommended by its Board of Directors in its meeting held on January 21, 2020 through the e-voting and postal ballot that concluded on March 09, 2020. The Company has filed the draft letter of offer (DLOF) with Securities Exchange Board of India (SEBI) for approval. The approval was received from SEBI in May 2020.
- 9 The figures for the quarters ended March 31, 2020 and March 31, 2019 are the balancing numbers between audited figures in respect of the full financial years and the published unaudited year to date figures upto the end of the third quarter of the relevant financial year, which are subjected to limited review.
- 10 The Board of Directors at their meeting held on June 02, 2020 have recommended final dividend of 25 paise per equity share of Re.1/- each in addition to interim dividend of 75 paise per equity share of Re.1/- each paid during the year.
- 11 The figures for the corresponding previous periods have been restated/regrouped wherever necessary, to make them comparable.

for and on behalf of the Board



Krishna Prasad Chigurupati
Chairman and Managing Director

Place : Hyderabad
Date : June 02, 2020



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INDEPENDENT AUDITORS' REPORT

TO THE BOARD OF DIRECTORS OF GRANULES INDIA LIMITED

Report on the audit of the Consolidated Annual Financial Results

Opinion

We have audited the accompanying consolidated annual financial results of Granules India Limited (hereinafter referred to as the "Holding Company") and its subsidiaries (Holding Company and its subsidiaries together referred to as "the Group"), its associate and its joint venture for the year ended 31 March 2020, attached herewith, being submitted by the Holding Company pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations").

In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of reports of other auditors on separate audited financial statements of the subsidiaries, the aforesaid consolidated annual financial results:

- a. includes the financial statement / results of the following:

Name of the entity	Relationship
Granules USA Inc.	Wholly owned subsidiary
Granules Pharmaceutical Inc.	Wholly owned subsidiary
Granules Europe Limited	Wholly owned subsidiary
Granules-Biocause Pharmaceutical Co. Ltd.	Associate (till 21 January 2020)
Granules Omnicem Private limited	Joint venture

- b. are presented in accordance with the requirements of Regulation 33 of the Listing Regulations in this regard; and
- c. give a true and fair view in conformity with the recognition and measurement principles laid down in the applicable Indian Accounting Standards, and other accounting principles generally accepted in India, of consolidated net profit and other comprehensive income and other financial information of the Group for the year ended 31 March 2020.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing ("SAs") specified under section 143(10) of the Companies Act, 2013 ("the Act"). Our responsibilities under those SAs are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Annual Financial Results* section of our report. We are independent of the Group, its associate and its joint venture in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act, and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence obtained by us along with the consideration of audit reports of the other auditors referred to in sub paragraph (a) of the "Other Matters" paragraph below, is sufficient and appropriate to provide a basis for our opinion on the consolidated annual financial results.

Our opinion is not modified in respect of this matter.

Management's and Board of Directors' Responsibilities for the Consolidated Annual Financial Results

These consolidated annual financial results have been prepared on the basis of the consolidated annual financial statements.

The Holding Company's Management and the Board of Directors are responsible for the preparation and presentation of these consolidated annual financial results that give a true and fair view of the consolidated net profit and other comprehensive income and other financial information of the Group including its associate and joint venture in accordance with the recognition and measurement principles laid down in Indian Accounting Standards prescribed under Section 133 of the Act and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations. The respective Management and Board of Directors of the companies included in the Group and of its associate and joint venture are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of each company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated annual financial results that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated annual financial results by the Management and the Directors of the Holding Company, as aforesaid.

In preparing the consolidated annual financial results, the Management and the respective Board of Directors of the companies included in the Group and of its associate and joint venture are responsible for assessing the ability of each company to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group and of its associate and joint venture is responsible for overseeing the financial reporting process of each company.

Auditor's Responsibilities for the Audit of the Consolidated Annual Financial Results

Our objectives are to obtain reasonable assurance about whether the consolidated annual financial results as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated annual financial results.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated annual financial results, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.



Auditor's Responsibilities for the Audit of the Consolidated Annual Financial Results (continued)

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion through a separate report on the complete set of financial statements on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures in the consolidated financial results made by the Management and Board of Directors.
- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the appropriateness of this assumption. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated annual financial results or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and its associate and joint venture to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated annual financial results, including the disclosures, and whether the consolidated annual financial results represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial results/financial information of the entities within the Group and its associate and joint venture to express an opinion on the consolidated annual financial results. We are responsible for the direction, supervision and performance of the audit of financial information of such entities included in the consolidated financial results of which we are the independent auditors. For the other entities included in the consolidated annual financial results, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion. Our responsibilities in this regard are further described in para (a) of the section titled "Other Matters" in this audit report.

We communicate with those charged with governance of the Holding Company and such other entities included in the consolidated annual financial results of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

We also performed procedures in accordance with the circular No CIR/CFD/CMD1/44/2019 issued by the SEBI under Regulation 33(8) of the Listing Regulations, as amended, to the extent applicable.



Other Matters

- (a) The consolidated annual financial results include the audited financial results of two subsidiaries, whose financial statements reflect total assets (before consolidation adjustments) of Rs. 91,856.76 as at 31 March 2020, total revenue (before consolidation adjustments) of Rs. 63,616.37 and total net loss after tax (before consolidation adjustments) of Rs. 243.35 and net cash outflows of Rs 1582.14 for the year ended on that date, as considered in the consolidated annual financial results, which have been audited by their respective independent auditors. The independent auditors' reports on financial statements of these entities have been furnished to us by the management and our opinion on the consolidated annual financial results, in so far as it relates to the amounts and disclosures included in respect of these entities, is based solely on the report of such auditors and the procedures performed by us are as stated in paragraph above.
- (b) The consolidated annual financial results include the unaudited financial results of one subsidiary, whose financial statements reflect total assets (before consolidation adjustments) of Rs. 99.63 as at 31 March 2020, total revenue (before consolidation adjustments) of Rs. Nil and total net loss after tax (before consolidation adjustments) of Rs. 198.65, and net cash inflows of Rs. 82.17 for the year ended on that date, as considered in the consolidated annual financial results. The consolidated annual financial results also include the Group's share of net profit after tax (before consolidation adjustments) of Rs. 2,549.09 for the period 1 April 2019 to 30 September 2019, as considered in the consolidated annual financial results, in respect of one associate and one joint venture. These unaudited financial statements / financial information have been furnished to us by the Board of Directors and our opinion on the consolidated annual financial results, in so far as it relates to the amounts and disclosures included in respect of this subsidiary, associate and joint venture is based solely on such annual financial statements / financial information. In our opinion and according to the information and explanations given to us by the Board of Directors, these financial statements / financial information are not material to the Group.

Our opinion on the consolidated annual financial results is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial results certified by the Board of Directors.

- (c) The consolidated annual financial results include the results for the quarter ended 31 March 2020 being the balancing figure between the audited figures in respect of the full financial year and the published unaudited year to date figures up to the third quarter of the current financial year which were subject to limited review by us.

for **B S R & Associates LLP**

Chartered Accountants

Firm Registration Number: 116231W/W-100024



Sriram Mahalingam

Partner

Membership Number: 049642

ICAI UDIN: 20049642AAAABQ1008

Place: Hyderabad

Date: 02 June 2020

Rs in lakhs

Statement of Consolidated Audited Results for the quarter and year ended March 31, 2020

SI No.	Particulars	Quarter ended			Year ended	
		31.03.2020	31.12.2019	31.03.2019	31.03.2020	31.03.2019
		Audited	Un-Audited	Audited	Audited	Audited
	Income					
1	Revenue from operations	59,988.34	70,395.64	61,331.62	259,864.65	227,919.77
2	Other income	2,251.93	350.99	188.19	3,655.52	2,668.26
3	Total income (1+2)	62,240.27	70,746.63	61,519.81	263,520.17	230,588.03
	Expenses					
	(a) Cost of materials consumed	29,414.83	34,687.96	35,762.49	131,491.77	133,897.31
	(b) Changes in inventories of work in progress and finished goods	(1,510.90)	17.42	(2,606.82)	(3,398.64)	(8,341.09)
	(c) Employee benefits expense	7,381.87	6,474.82	5,133.78	25,903.82	20,982.44
	(d) Finance costs	657.06	672.84	684.57	2,702.38	2,846.07
	(e) Depreciation and amortisation expense	3,897.00	3,899.44	2,741.84	13,695.35	10,548.34
	(f) Other expenses (refer note 7)	14,707.78	12,900.65	13,281.48	53,335.87	42,977.34
	Total expenses	54,547.64	58,653.13	54,997.34	223,730.55	202,910.41
	Profit before share of profit from joint venture & associate, exceptional items and tax (3-4)	7,692.63	12,093.50	6,522.47	39,789.62	27,677.62
6	Share of profit of joint venture and associate, net of tax	-	-	1,899.71	2,549.09	4,874.32
7	Profit before exceptional items and tax (5+6)	7,692.63	12,093.50	8,422.18	42,338.71	32,551.94
8	Exceptional items (refer note 8)	(5,977.29)	3,203.39	-	(2,773.90)	-
9	Profit before tax (7-8)	13,669.92	8,890.11	8,422.18	45,112.61	32,551.94
10	Tax expense					
	a) Current tax	3,592.67	3,253.34	1,610.67	12,570.83	8,192.27
	b) Deferred tax (refer note 6)	843.57	(765.90)	407.84	(998.05)	718.82
	Total tax expense	4,436.24	2,487.44	2,018.51	11,572.78	8,911.09
11	Profit for the period (9-10)	9,233.68	6,402.67	6,403.67	33,539.83	23,640.85
12	Other comprehensive income (net of tax)					
	(a) (i) items that will not be reclassified to profit or loss	(460.56)	-	(105.56)	(460.56)	(105.56)
	(ii) income tax on (i) above	123.62	-	36.66	123.62	36.66
	(b) (i) items that will be reclassified to profit or loss	162.12	(1,307.14)	1,113.41	(215.07)	2,099.81
	(ii) income tax on (i) above	815.15	305.78	(547.17)	770.50	(728.48)
	Total other comprehensive income, net of tax	640.33	(1,001.36)	497.34	218.49	1,302.43
13	Total comprehensive income (11+12)	9,874.01	5,401.31	6,901.01	33,758.32	24,943.28
14	Paid-up equity share capital (Face Value of Rs.1/- per share)	2,542.48	2,542.48	2,542.48	2,542.48	2,542.48
15	Other equity				181,829.93	150,404.83
16	Earnings per share (Face value Rs. 1/- each)					
	(a) Basic (in Rs.)	3.63	2.52	2.52	13.19	9.30
	(b) Diluted (in Rs.)	3.62	2.51	2.51	13.15	9.28
		(Not annualised)	(Not annualised)	(Not annualised)	(Annualised)	(Annualised)



Consolidated Statement of Assets and Liabilities :

Sl.No.	Particulars	As at March 31, 2020	As at March 31, 2019
		Audited	Audited
I	ASSETS		
	Non-current assets		
	a) Property, plant and equipment	98,877.21	74,755.69
	b) Capital work-in-progress	14,807.04	32,349.96
	c) Other intangible assets	21,520.19	19,669.12
	d) Intangible assets under development	14,613.39	17,245.19
	e) Financial assets		
	i) Investments (refer note 7)	1,934.03	21,042.07
	ii) Loans	1,661.16	1,692.61
	f) Deferred tax assets	525.02	422.70
	g) Non-current tax assets (net)	52.99	169.26
	h) Other non-current assets	5,974.87	2,710.55
	Total non-current assets	159,965.90	170,057.15
	Current assets		
	a) Inventories	43,843.08	38,421.25
	b) Financial assets		
	i) Trade receivables	73,517.82	67,354.24
	ii) Cash and cash equivalents	18,592.89	8,302.43
	iii) Bank balances other than cash and cash equivalents above	9,801.38	601.59
	iv) Loans	787.65	315.43
	v) Other financial assets	360.97	51.68
	c) Other current assets	12,295.03	13,177.55
		159,198.82	128,224.17
	d) Assets held for sale (refer note 8(b))	10,985.24	-
	Total current assets	170,184.06	128,224.17
	TOTAL ASSETS	330,149.96	298,281.32
II	EQUITY AND LIABILITIES		
	Equity		
	a) Equity share capital	2,542.48	2,542.48
	b) Other equity	181,829.93	150,404.83
	Total equity	184,372.41	152,947.31
	Liabilities		
	Non-current liabilities		
	a) Financial liabilities		
	i) Borrowings	42,152.25	47,878.25
	b) Provisions	2,150.34	1,258.07
	c) Deferred tax liabilities (net) (refer note 6)	4,820.91	6,549.49
	Total non-current liabilities	49,123.50	55,685.81
	Current liabilities		
	a) Financial liabilities		
	i) Borrowings	37,169.09	45,420.61
	ii) Trade payables		
	(a) Total outstanding dues of micro enterprises and small enterprises	855.47	371.45
	(b) Total outstanding dues of creditors other than micro enterprises and small enterprises	42,146.74	31,976.29
	iii) Other financial liabilities	13,603.70	10,194.84
	b) Other current liabilities	1,712.63	1,165.44
	c) Provisions	595.51	433.83
	d) Current tax liabilities (net)	570.91	85.74
	Total current liabilities	96,654.05	89,648.20
	Total liabilities	145,777.55	145,334.01
	TOTAL EQUITY AND LIABILITIES	330,149.96	298,281.32



Audited consolidated statement of Cash flows for the year ended March 31, 2020

	Rs in lakhs	
	March 31, 2020	March 31, 2019
	Audited	Audited
Cash flow from operating activities		
Profit before tax excluding share of profit of joint venture & associate	42,563.52	27,677.62
<i>Adjustments to reconcile profit before tax to net cash flows</i>		
Depreciation and amortisation expense	13,695.35	10,548.34
Bad debts written off	302.01	6.91
Allowance for doubtful trade receivables	535.48	1,394.31
Gain on disposal of associate and joint venture (net)	(2,773.90)	-
Impairment of Investments	2,171.53	-
Loss on sale of fixed assets (net)	24.67	36.50
Changes in fair value of cashflow hedges	148.13	-
Net loss/(gain) on foreign exchange fluctuations (unrealised)	(1,410.42)	324.70
Write off of Intangible assets under development	1,127.83	-
Share based payment expense	731.87	554.82
Reclassified forex from OCI to P&L on account of sale of associate	(930.44)	-
Interest expense	2,702.38	2,846.07
Interest income	(636.20)	(726.26)
Operating profit before working capital changes	58,251.81	42,663.01
<i>Movements in working capital:</i>		
Increase in trade receivables	(3,905.60)	(6,789.72)
Increase in inventories	(5,421.83)	(10,426.69)
Decrease in other assets	441.75	2,561.04
Increase in trade payables, other liabilities and provisions	10,160.84	7,061.64
Cash generated from operations	59,526.97	35,069.28
Taxes paid (net of refunds)	(11,908.13)	(8,844.87)
Net cash generated from operating activities	47,618.84	26,224.41
Cash flow from investing activities		
Purchase of fixed assets including capital work-in-progress, capital advances and payables for capital goods	(18,447.90)	(27,940.34)
Proceeds from sale of fixed assets	17.63	56.82
Withdrawal/(placement) of bank deposits	(9,193.71)	167.79
Proceeds from sale of associate	11,233.76	-
Interest received	326.91	733.90
Net cash used in investing activities	(16,063.31)	(26,981.83)
Cash flow from financing activities		
Proceeds from issuance of shares	-	95.55
Proceeds from borrowings	-	11,339.34
Repayment of borrowings	(5,986.36)	(1,105.32)
(Repayment) of short-term borrowings, net	(9,353.54)	(6,231.00)
Repayment of lease liability (including related interest)	(219.90)	-
Interest paid	(2,660.61)	(2,778.07)
Dividend paid on equity shares including tax thereon	(3,065.09)	(3,063.93)
Net cash used in financing activities	(21,285.50)	(1,743.43)
Net increase/(decrease) in cash and cash equivalents	10,270.03	(2,500.85)
Effect of exchange differences on translation of foreign currency cash and cash equivalents	20.43	-
Cash and cash equivalents at the beginning of the year	8,302.43	10,803.28
Cash and cash equivalents at the end of the year	18,592.89	8,302.43

Note: The above Statement of Cash flow has been prepared under the 'Indirect Method' as set out in Ind AS 7, 'Statement of Cash Flows'



Notes:

- 1 The above consolidated audited financial results for the quarter and year ended March 31, 2020 have been reviewed by the Audit Committee on June 02, 2020 and approved by the Board of Directors at their meeting held on June 02, 2020.
- 2 The consolidated audited financial results of the Company have been prepared in accordance with the Indian Accounting Standards prescribed under section 133 of the Companies Act, 2013 ("the Act") read with relevant rules issued thereunder ("Ind AS") and other accounting principles generally accepted in India and in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- 3 The subsidiaries, joint venture and associate companies considered for the consolidated financial statements for the year ended March 31, 2020 are Granules USA Inc., Granules Pharmaceuticals Inc., Granules Europe Limited (together known as "Subsidiaries"), Granules Omnichem Pvt Ltd (known as "joint venture") and Hubei Granules Biocause Pharmaceutical Co. Ltd (known as "associate").
- 4 Effective April 1, 2019, the Group has adopted Ind AS 116 – Leases using modified retrospective method. This has resulted in recognising right of use assets and lease liability as on April 1, 2019. The adoption of the standard did not have any material impact to the audited financial results.
- 5 The Group operates in one reportable business segment of Pharmaceutical products including ingredients and intermediaries.
- 6 The Company elected to exercise the option permitted under section 115BAA of the Income-tax Act, 1961 as introduced by the Taxation Laws (Amendment) Ordinance, 2019. Accordingly, the Company has recognised provision for income tax for the year ended March 31, 2020 and remeasured its deferred tax liabilities basis the rates prescribed in the said section.. The Company recognized an amount of Rs. 1,891.88 lakhs towards reversal of deferred tax liability during the year ended March 31, 2020 on account of the remeasurement.
- 7 Other expenses include an amount of Rs 2,171.53 lakhs (USD 3 Million) which represents the impairment of investment in a downstream entity by Granules Pharmaceutical Inc.. The impairment was arising from the management's qualitative assessment of the impairment indicators and the comparison of the carrying value of the investment with the recoverable value of the investee entity in accordance with the Ind AS 36.
- 8 a) During the year ended March 31, 2020, the Company entered into a definitive agreement to divest its entire 50% shareholding in Granules-Biocause Pharmaceutical Co. Ltd, for a consideration of Rs. 11,233.76 lakhs (RMB 109 million). The closing conditions for the divestment were concluded in current year. Upon divestment, the resultant loss of Rs. 3,203.39 lakhs is disclosed as 'Exceptional item' in the consolidated statement of profit and loss.
b) During the year, the Company has entered into a definitive agreement to divest its entire 50% shareholding in Granules Omnichem Private Limited, for a consideration of Rs. 10,985.24 lakhs. The Company has received the required regulatory approval in May 2020 and the sale has been concluded. The Company has recognised the resultant gain of Rs. 5,977.29 lakhs which is disclosed as an 'Exceptional item' in the consolidated statement of profit and loss.
- 9 The Group has considered the possible effects that may result from the pandemic relating to COVID-19 on the carrying amounts of receivables, intangibles, inventories and investments. In developing the assumptions relating to the possible future uncertainties in the global economic conditions because of this pandemic, the Company, as at the date of approval of these financial statements has used internal and external sources of information. The Company has performed sensitivity analysis on the assumptions used and based on current estimates, the Group expects to recover the carrying amount of receivables, intangibles, inventories and investments. As the outbreak continues to evolve, the company will continue to closely monitor any material changes to future economic conditions. Based on the assessment done by the management of the Group, there is no significant/material impact of COVID-19 on the results for the quarter and year ended March 31, 2020.
- 10 The Board of Directors at their meeting held on January 21, 2020 approved a buyback proposal, subject to the approval of shareholders for purchase by the Company of up to equity shares of 12,500,000 of face value Re 1 each (representing 4.92% of total paid-up equity capital) from shareholders of the Company at a price of Rs. 200 per share. The shareholders approved the proposal of buyback of equity shares recommended by its Board of Directors in its meeting held on January 21, 2020 through the e-voting and postal ballot that concluded on March 09, 2020. The Company has filed the draft letter of offer (DLOF) with Securities Exchange Board of India (SEBI) for approval. The approval was received from SEBI in May 2020.
- 11 The Board of Directors at their meeting held on June 02, 2020 have recommended final dividend of 25 paise per equity share of Re.1/- each in addition to interim dividend of 75 paise per equity share of Re.1/- each paid during the year.
- 12 The figures for the quarter ended March 31, 2020 and March 31, 2019 are the balancing figures between audited figures in respect to full previous financial year and the published unaudited year to date figures upto the end of the third quarter of the previous financial year, which were subjected to limited review.
- 13 The figures for the corresponding previous periods have been restated/regrouped wherever necessary, to make them comparable.
- 14 Standalone results for the quarter / year ended are as under -

Particulars	Rs in lakhs				
	Quarter ended			Year ended	
	31.03.2020	31.12.2019	31.03.2019	31.03.2020	31.03.2019
	Audited	Un-Audited	Audited	Audited	Audited
Revenue from Operations	48,686.99	61,644.41	56,099.67	230,992.83	209,843.26
Profit Before Tax	24,223.90	10,972.53	6,051.44	55,302.60	24,170.68
Profit After Tax	20,175.27	8,846.60	4,135.70	44,406.90	16,184.05

for and on behalf of the Board

Place : Hyderabad
Date : June 02, 2020



• Krishna Prasad Chigurupati
Chairman and Managing Director

